

Meta Platforms, Inc.
 META NASDAQ

Buy \$604.52 ▼ 0.26% 12M Price Target \$720.00 52-Week Range \$520.26 – \$796.25

Market Cap
 \$1.53T

META: Capex Fears Hit Stock, But AI Moat Widening

WHAT HAPPENED

- Big one overnight: BlackRock kicked off a ****\$12.3 billion bond sale** to finance a Meta data center^{**}. That's the tell — Meta is raising outside debt (borrowing money from bond investors instead of using its own cash) to fund AI infrastructure. Market read it as "capex is getting SO big they need to finance it off-balance-sheet" — which is why the stock is down ~6% over four sessions from \$645 to \$604.
- Meta also launched a ****standalone seller app for Facebook Marketplace**** — direct shot at eBay (which fell on the news). Small news but signals Meta is done letting Marketplace be a sleepy side business and wants a real e-commerce revenue line.

WHY IT MATTERS

Here's what's really going on: the \$12.3B bond deal isn't bearish — it's actually a sign Meta is being **disciplined**. By financing data centers with debt (locked in at fixed rates), they keep their free cash flow available for buybacks and preserve the earnings story. But the market is nervous because every dollar of AI capex right now doesn't produce revenue for 2-3 years, and investors are asking "when does this pay off?" The unusual put buying at \$670-\$680 strikes tells me institutions are hedging into next week's earnings (July 30) — they expect either a guide-down on margins or another capex bump. ^{**The setup: if Zuckerberg raises capex guidance again on the call, the stock gets punished short-term but the long-term moat gets stronger.**} Smart glasses momentum (National Vision CEO calling them out as hot sellers) is the quiet green shoot nobody's pricing in yet.

POLICY & POLITICAL WATCH

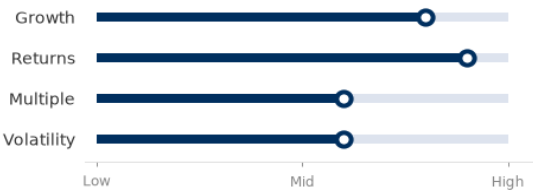
Two live wires: (1) ****The FTC antitrust case**** on Instagram/WhatsApp divestiture is still grinding through appeals — a loss would be catastrophic but the current administration has been noticeably softer on Big Tech breakups than the prior FTC leadership. (2) ****AI infrastructure and data center power**** — there's ongoing debate in Congress about permitting reform and grid capacity for AI data centers. If permitting reform passes, Meta's \$60B+ AI buildout gets cheaper and faster; if it stalls, expect delays. Also watch the ****EU Digital Markets Act enforcement**** — Meta got hit with fines earlier this year and any new penalties on ad targeting could pressure European ad revenue (roughly 25% of the business).

IS IT EXPENSIVE?

Key Data

Price (USD)	\$604.52
12M Price Target	\$720.00
Upside / (Downside)	+19.1%
Market Cap	\$1.53T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	22.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$660.00	\$615.00	\$560.00
6 Months	\$750.00	\$670.00	\$540.00
1 Year	\$820.00	\$720.00	\$500.00
2 Years	\$950.00	\$800.00	\$480.00
5 Years	\$1400.00	\$1000.00	\$450.00
10 Years	\$2200.00	\$1500.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: ****Real Estate (+2.2%)**** — this is the AI infrastructure tell. Data center REITs are ripping because everyone realized the AI buildout needs physical buildings and power. ****Energy (+3.9% over 5D)**** also benefits from AI power demand.

COOLING OFF: ****Communication Services (-3.8% over 5D)**** — that's Meta's own sector, and it's the worst 5-day performer. Investors are rotating OUT of ad-model tech into infrastructure plays.

ROTATION WATCH: Money is flowing from "AI users" (Meta, Google) into "AI enablers" (data center REITs, utilities, chips). This is a headwind for META short-term but historically these rotations exhaust themselves in 4-8 weeks.

RELATED PLAY: If you like the META thesis but want the picks-and-shovels angle, look at ****data center REITs (EQIX, DLR)**** and ****utilities powering AI (VST, CEG)**** — they benefit from Meta's spending regardless of when Meta's AI monetizes.

WHO'S WINNING IN THIS SPACE?

- ****INTC**** (Intel): Up 3% on Q2 beat and upbeat Q3 outlook — semiconductor demand from AI buildouts is real, and Intel is a lagging beneficiary catching up.
- ****AMD**** (Advanced Micro Devices): The Helios AI rack system news is putting real competitive pressure on Nvidia — good news for Meta because it means chip pricing pressure, lower AI infrastructure costs long-term.

META CONTEXT: Meta is ****lagging its Mag 7 peers**** this week — down while chips and infra rally. This is classic rotation, not a Meta-specific problem. History says when Meta lags into an earnings print then delivers, the snapback is violent to the upside. Set alerts.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 4-6% of portfolio

Entry Points: \$590-605 on capex-fear pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Ad revenue growth drops below 10% YoY or FTC forces Instagram/WhatsApp divestiture

Hedging: Small put spread on QQQ or paired short vs. a richer AI-hype name